CHAPTER EIGHTEEN

TETLEY TEA

The Cheering 'T'

After taking over as chairman of the Tata Group in 1991 just two years short of its 125th year, Ratan renewed his commitment to transform the group from a primarily Indian entity to a conglomerate with a significant overseas presence. He declared it as his unwavering goal and was unremitting in his demand to the senior group leaders to accomplish this vision. He drove home this point repeatedly during the meetings of Tata company CEOs. Addressing them at the AGMM in 2000, for instance, he said: '[The] World is the market'; the 'World is the competition'; 'We cannot put our head in the sand,' we have to be 'Leaders in the changing times'. He reinforced this message in 2002 at the same forum. And this goal found its first major practical expression in Tata Tea's takeover of the British tea brand, Tetley.

The move was momentous for many reasons. The British have an 'intimate love affair' with tea. And now the 'Very British Beverage' would be owned by Indians, whom their country had once ruled over. An Indian company would soon enter the sanctum sanctorum of British homes with the three Ts—Tata Tetley Tea.

The Growth of Tata Tea

Tata Tea was the largest tea company in India and diversifying its products was a logical step. It had embarked on a strategically planned expansion programme, especially after R.K. Krishna Kumar took over as the vice chairman. This began with expanding its product basket. Till the 1970s, the company would locally auction the tea it produced. The prices were not